S.No.1

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
VC AND PHYSCIAL (HYBRID) MODE

ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
15-07-2025 AT 02:00 PM

CP (AA) No. 07/230/HDB/2025
U/s. 230 of Companies Act, 2013

IN THE MATTER OF:
M/s. Egen Data Pvt Ltd., (Transferor Co.,) and M/s. Springml Inida Development Center Pvt Ltd., (Transferee Co.,) **...Petitioner**

CORAM:-
SH. RAMMURTI KUSHAWAHA, HON'BLE MEMBER (JUDICIAL)
SH. MAN MOHAN GUPTA, HON'BLE MEMBER (TECHNICAL)

ORDER

Learned PCS Mr. Tapasvilal Deora for Petitioner present through video conference.

The Order is pronounced on separate sheets. In the result, **CP (AA) No. 07/230/HDB/2025 is allowed,** subject to the directions mentioned in the order.

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MAN MOHAN GUPTA
MEMBER (T)

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RAMMURTI KUSHAWAHA
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH-I

CP (CAA) No. 07/230/HDB/2025 connected with
CA (CAA) NO. 05/230/HDB/2025
U/s 230 and 232 of the Companies Act, 2013

IN THE MATTER OF

EGEN DATA PRIVATE LIMITED

(TRANSFEROR COMPANY/PETITIONER COMPANY NO.1)

AND

SPRINGML INDIA DEVELOPMENT CENTER PRIVATE LIMITED

(TRANSFEREE COMPANY/ PETITIONER COMPANY NO.2)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

EGEN DATA PRIVATE LIMITED
Having its registered office at
Villa No. 19, Lanco Hanging Gardens, Lanco Hills,
Manikonda, Hyderabad – 500 089, Telangana
Represented by its Director, Ms. Jaya Kommaraju

...Petitioner No.1 / Transferor Company

SPRINGML INDIA DEVELOPMENT CENTER PRIVATE LIMITED
Having its registered office at
14th Floor, Sohini Tech Park, Sy.No. 142,
Nanakramguda Village, Serilingampally Mandal and Municipality,
Rangareddi, Hyderabad - 500 032, Telangana, India.

...Petitioner No.2 / Transferee Company

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DATE OF ORDER: 15.07.2025

CORAM:-

SHRI RAMMURTI KUSHAWAHA, HON'BLE MEMBER (JUDICIAL)
SHRI MAN MOHAN GUPTA, HON'BLE MEMBER (TECHNICAL)

Counsels / Parties Present

For the Petitioner : Mr. Tapasvilal Deora, PCS
For the Respondent : Mr. Richa Kukreja, Regional Director (RD) and
Ms. Kusum Yadav, Assistant RD,
Mr. Deowarat Vasantrao Meshram, Assistant OL
Ms.Bokaro sapna Reddy, Counsel for Income Tax Department.

PER BENCH

1. This is a Petition filed by the Petitioner Companies under Sections 230 to 232 read with Companies (Compromises, Arrangements and Amalgamations), Rules 2016 inter-alia seeking for sanction of the Scheme of Amalgamation which is annexed as Annexure-7 with effect from the appointed date i.e., 01.04.2024 to the Petition between Transferor Company and Transferee Company and their respective shareholders and creditors.

2. The averments made in the Petition are briefly described as under:
   a. The Petitioner No.1 / Transferor Company, **M/s. Egen Data Private Limited** ("**Transferor Company**") was incorporated on 02nd November, 2021 under the provisions of the Companies Act, 2013. The CIN of the Transferor Company is U72200TG2021FTC156601 and registered under the Registrar of Companies, Hyderabad. It is engaged in

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the business of Information Technology services and other associated services related therewith in India and outside India (hereinafter referred to as the "Business of the Transferor Company"). A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are annexed as **Annexure 1,** to this Petition.

b. The authorized, issued, subscribed and paid-up share capital of the Transferor Company as on 31st October 2024 are as under:

Particulars	Amount (in INR)
Authorized Capital	
50,000 Equity Shares of INR 10 each	5,00,000
Total	**5,00,000**
Issued, Subscribed and Paid-up	
50,000 Equity Shares of INR 10 each	5,00,000
Total	**5,00,000**

Subsequent to 31st October 2024 and till the date of filing this Petition, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferor Company. A copy of the audited financial statements as on 31st March, 2024 and provisional financial statements as on 31st October, 2024 of the Transferor Company are annexed as **Annexure-A2** and **Annexure-A3** respectively to the Petition.

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c. The Petitioner No.2/ Transferee Company i.e., **M/s. SpringML India Development Center Private Limited** was incorporated originally on 11th April, 2018 bearing CIN: U72900TG2018PTC123763 with the Registrar of Companies, Hyderabad under the provisions of the Companies Act, 2013. The Transferee Company is engaged in business of establishing design, develop, warehouse, acquire, run, maintain, operate and / or provide services in the field of Computer Software development and services for multiple platforms by applying machine observation to digitize etc. A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferee Company are annexed as **Annexure 4**, to the Petition.

d. The authorized, issued, subscribed and paid-up share capital of the Transferee Company as on 31st October, 2024 is as under:

Particulars	**Amount in INR**
Authorized Capital	
1,00,000 equity shares of INR 10 each	10,00,000
Total	**10,00,000**
Issued, Subscribed and Paid-up	
10,000 equity shares of INR 10 each	10,00,000
Total	**10,00,000**

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Subsequent to 31st October 2024 and till the date of filing this Petition, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferee Company. A copy of the audited financial statements as on 31st March, 2024 and provisional financial statements as on 31st October, 2024 of the Transferee Company are annexed as **Annexure-A5** and **Annexure-A6** respectively to the Petition.

3. **RATIONALE FOR THE SCHEME:**

That the present Scheme of Amalgamation between the Transferor Company with the Transferee Company, inter alia, have the following benefits:

a. Garnering benefits from lower operating costs and facilitating consolidation of operations and optimum utilization of assets.
b. Pooling of the management, and administration to result in savings of costs.
c. Combining capital resources and reflecting consolidated net worth in one balance sheet will result in increased leveraging capacity of the merged entity.
d. Eliminating duplication of work in areas like Accounts, Company Law and Tax Assessments, common administrative services and resulting in cost savings.
e. Cost savings are expected to flow from more focused operational efforts, rationalizations, standardization and simplification of business processes, productivity improvements, improved

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procurement, and the elimination of duplication of work in various support functions as well as compliances with various statutory acts, rules and regulations.

The amalgamation is in the interest of the shareholders, creditors and all other stakeholders of the respective companies and is not prejudicial to the interests of the concerned shareholders, creditors or the public at large. In view of the same, it is considered desirable to amalgamate the Transferor Company into the Transferee Company with effect from the Appointed Date 01st April, 2024, in accordance with this Scheme, pursuant to the provisions of Section 232 read with Section 230 of the Companies Act, 2013 and the same shall be in compliance with Section 2(1B) of the Income Tax Act, 1961.

Scheme of Amalgamation between the Egen Data Private Limited (Transferor Company) and SpringML India Development Center Private Limited (Transferee Company) and their respective Shareholders and Creditors is annexed as **Annexure-A7.**

4. CONSIDERATION

Upon the Scheme becoming effective and by virtue of amalgamation of the Transferor Company with the Transferee Company, the Transferee Company shall, without any further act, application or deed, issue and allot, at par, to every member (except for the shares held by the Transferee Company itself or its nominee or its subsidiaries) of the Transferor Company or its nominees, his / her heirs, executors, administrators or the successor-in-title, as the case may be, holding fully

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paid up equity shares in the Transferor Company and whose names appears in the register of members of the Transferor Company as on the Effective Date in the following proportion:

"one fully paid-up equity share of face value of Rs.10 (Rupees Ten Only) each in the Transferee Company shall be issued and allotted for every 35.33 Equity Shares held in the Transferor Company"

A copy of the Valuation Report issued by a registered Valuer is annexed as **Annexure-A8.**

5. **COMPLIANCE OF ACCOUTING STANDARD**

The accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards as prescribed under the provisions of Section 133 of the Companies Act, 2013. A certificate issued by the Statutory Auditor confirming the Accounting Treatment proposed in the Scheme is annexed as **Annexure-A9.**

6. The Board of Directors of the Transferor Company in its meeting held on 12.11.2024 and the Board of Directors of the Transferee Company in its meeting held on 03.10.2024 have approved the Scheme of Amalgamation of Egen Data Private Limited (Transferor Company) and SpringML India Development Center Private Limited (Transferee Company) and their respective shareholders and Creditors. Certified copies of the Board Resolutions of the Petitioner Companies approving the Scheme are annexed and marked as **Annexure-A10 & Annexure-A11** to the Petition.

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7. DECLARATION BY THE PETITIONER COMPANIES

- No petition under Section 241 or 242 of the Companies Act, 2013 has been filed against any of the Petitioner Companies and there has been no material change in the affairs of any of the Petitioner Companies, except for what was done in the normal course of business.

- There are no proceedings pending under Section 210 to 227 of Companies Act, 2013, against any of the Petitioner Companies.

- That the Petitioner Companies undertake to comply with applicable provisions of Foreign Exchange Management Act, 1999 read with Master Directions and guidelines issued by the Reserve Bank of India from time to time.

- The Scheme of Amalgamation between Transferor Company and Transferee Company and their respective Shareholders and Creditors does not have an adverse effect on any of the shareholders or creditors or other stakeholders of the Petitioner Companies in any manner whatsoever.

- The Petitioner Companies are simultaneously filing a copy of this Petition with the offices of the Registrar of Companies, Regional Director, Official Liquidator and the Income Tax Department inviting their representations, if any.

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8. It is submitted that the Petitioner Companies had filed a joint Company Application bearing CA (CAA) No. 05/230/HDB/2025, under section 230 to 232 of the Companies Act, 2013, wherein this Tribunal passed order vide its Order dated 31st day of January, 2025 by allowing the Application by dispensing of conducting the meetings of the equity shareholders and creditors of the Applicant Companies. Copy of the order dated 31st January, 2025 passed by this Hon'ble Tribunal is annexed to the petition as "**Annexure-A12".**

9. It is submitted that this Tribunal vide order dated 20.02.2025 ordered notices to all the statutory authorities as per Rule 16 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. Subsequently notices were issued on all the statutory Authorities. It is further submitted that the Petitioner Companies as per the order of this Tribunal, publication had been carried out in the Business Standard (English) and Nava Telangana (Telugu) Newspapers on 13.03.2025 and filed the Compliance Memo with this Tribunal on 28.03.2025.

10. The Regional Director, vide his Affidavit/ report dated 28.05.2025 has not objected to the proposed Scheme but has made certain observations. The Petitioner Companies have filed reply Affidavit dated 12.06.2025, in response to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad. The details are given below:

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Observation of Regional Director	Reply filed by the Petitioner Companies by way of an Affidavit
Para 3 (c) : The Transferor and Transferee Company may take necessary steps for the compliance under provisions of Securities and Exchange Board of India Act, 1992.	It is submitted that the Petitioner Companies are unlisted Private Limited Companies and hence the provisions of Securities and Exchange Board of India Act, 1992 are not applicable to the Petitioner Companies.
Para 3(f) Since the Transferee company proposes to change its name to the name of the Transferor Company consequent upon the implementation of the Scheme of amalgamation, the respective companies may be directed to comply with the required procedures under the provisions of the Companies Act, 2013. **Para 6(g)** The Hon'ble Tribunal may be direct Transferee company to comply with the provisions of the Companies Act, 2013 and file requisite e-form with ROC for effecting such change.	That for the purpose of change of name of the Transferee Company, the Transferee Company shall make requisite applications and file requisite forms for the said change of name of the Transferee Company and comply with the provisions of the Companies Act, 2013.

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Para 3 (g) & (h) Hon'ble Tribunal may please to direct the Petitioner Companies to preserve the books and comply with statutory laws with the Registrar of Companies.	The Petitioner Companies vide this affidavit undertakes to comply with all the Applicable provisions and rules under the Companies Act, 2013.
Para 5: The Hon'ble Tribunal may be pleased to direct the Petitioner Companies to furnish an undertaking that, if any demand arises from the Income Tax Department with respect to Transferor Company and Transferee Company, Transferee Company is ready to pay the said statutory dues.	The Petitioner Companies submitted that in case any demand arises from the Income Tax Department w.r.t. Transferor Company, the same shall be the liability of the Transferee Company.
Para 6 (c): The Hon'ble Tribunal may be pleased to direct the Transferee Company to furnish an undertaking stating that the interests of employees are being protected on post sanction of the Scheme.	The Petitioner Companies submitted that upon the scheme being effective, the interests of the employees of Petitioner Companies shall be protected and there shall be no retrenchment of any employee on account of the Amalgamation.
Para 6(d): The Hon'ble Tribunal may be pleased to direct the Petitioner Companies to submit the details of the shares to be allotted after the merger and the Scheme needs to be amended to account for fractional shares.	The Petitioner Companies submitted that upon the Scheme becoming effective, in accordance with the Share Exchange Ratio, the Transferee Company shall allot 1,415 fully paid-up Equity Shares having

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	face value of Rs. 10/- each to Egen Solutions Inc., USA (Shareholder of the Transferor Company). We hereby clarify that 10 Shares held by the Transferee Company in the Transferor Company shall stand cancelled/ extinguished. We further submit that no fractional shares shall be issued by the Transferee Company.
Para 6(e): The Hon'ble Tribunal may be pleased to direct the Transferee Company to file requisite e-form with ROC for such increase if any, and furnish an undertaking before the Hon'ble Tribunal in this regard.	It is submitted that Transferee Company has sufficient Authorized Share Capital for the purpose of allotment of shares to the Shareholders of the Transferor Company and hence there is no requirement of increasing the Authorized Share Capital of the Transferee Company for the purpose of allotment of shares on account of the Scheme of Amalgamation. It is further submitted that as and when required, for the purpose of increasing the Authorized Share Capital, the Transferee Company shall file requisite forms with the Registrar.
Para 6(f) The Hon'ble Tribunal may be pleased to direct the Transferee Company to comply with the provisions of Section 232(3)(i) of the	It is submitted that the Transferee Company shall pay the difference fee, if any, after setting off the fee already paid

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Companies Act, 2013 and pay the differential fee after setting of the fee already paid by the Transferor Company and also furnish an undertaking before the Hon'ble Tribunal in this regard.	by the Transferor Company in compliance with the provisions of Section 232(3)(i) of the Companies Act, 2013.
Para 6 (h) As per Clause 11.1 of the Scheme, it is stated that upon coming into effect of this Scheme, the amalgamation of the Transferor Company with the Transferee Company shall be accounted for as per Pooling of interest method defined under the Accounting Standard-14 as prescribed in the Companies (Accounting Standards) Rules, 2006 as prescribed under Section 133 of the Companies Act, 2013.	It is submitted that the Petitioner Companies shall follow Accounting Treatment as per the provisions of Accounting Standard 14: Accounting for Amalgamations - Pooling of Interest Method as prescribed in the Companies (Accounting Standards) Rules as prescribed U/s. 133 of the Companies Act, 2013.
Para 6(j) The Hon'ble Tribunal may be pleased to direct the Transferee Company to comply with FEMA/RBI Regulations since the Transferee Company is issuing shares to the Transferor Company upon sanction of the Scheme. Transferee Company may be directed to furnish an undertaking before the Hon'ble Tribunal.	It is submitted that the Petitioner Companies shall comply with FEMA/ RBI regulations for issuance and allotment of Shares to Egen Solutions Inc. (Shareholder of the Transferee Company).
Para 6(k) As seen from the Balance Sheet as at 31.03.2024, the Transferee Company owes	It is submitted that the Transferee Company has cleared the dues of MSME's

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dues towards MSME. The Hon'ble Tribunal may be pleased to direct the Transferee Company to settle the dues immediately if not settled and paid so far.	as appearing in its Balance Sheet as on 31.03.2024.

11. The Regional Director, vide his additional affidavit/ report dated 04.07.2025 to the reply affidavit filed by the Petitioner Companies dated 12.06.2025 and has made certain observations. With regard to the observations of the RD/RoC at para 3(c), (g), (h), 5, 6 (c), (e), (f), (g), (h) and (j) the petitioner companies had undertaken to comply with the observations of the Deponent.

12. The Official Liquidator has filed his report, vide OLR No. 20/2025 dated 23.05.2025 stating certain observations at point No.22 of his report. The observations pointed out has been replied by the petitioner companies vide affidavit dated 12.06.2025, The Official Liquidator filed Further Report, vide OLR No. 30/2025 dated 08.07.2025 to the reply affidavit of the Petitioner Companies dated 12.06.2025, which is mentioned below:

Observations of Official Liquidator	**Reply by way of Affidavit by the Petitioner Companies**	**Further Report by Official Liquidator**
Para 22(1) The Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to	The Petitioner Companies have undertaken that	No further observations

submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e., 01.04.2024) as well.	there shall be no retrenchment of any employee who was in service of the Transferor Company as on the Appointed date i.e., 01.04.2024.	
Para 22(2) The Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking to the effect that "they will not deviate from the provisions of Accounting Standard 14: Accounting for Amalgamations - Pooling of Interest Method".	The Petitioner Companies have undertaken that upon the Scheme becoming effective, they shall follow Accounting Treatment as per the provisions of Accounting Standard 14: Accounting for Amalgamations - Pooling of Interest Method and shall not deviate from the said Accounting Standard.	No further observations
Para 22(3) The Hon'ble Tribunal may be pleased to direct the Transferee Company to comply with the	The Petitioner Companies have undertaken that	No further observations

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provisions of the Section 232(3)(i) of the Companies Act, 2013 and pay the difference fee, if any, after setting off the fee already paid by the Transferor Company on its respective capital.	upon the Scheme becoming effective, for the purpose of clubbing of Authorized-Share Capital of the Transferor Company with the Transferee Company, the Transferee Company shall pay the difference fee, if any, after setting off the fee already paid by the Transferor Company in compliance with the provisions of Section 232(3)(i) of the Companies Act, 2013.	
Para 22(4) The Hon'ble Tribunal may be pleased to direct the Transferee Company to submit an undertaking before this Hon'ble Tribunal that they will comply with the provisions of the Companies Act, 2013 for change of name as required under law.	The Petitioner Companies have undertaken that for the purpose of change of name of the Transferee Company, the	No further observations

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	Transferee Company shall make requisite applications and file requisite forms for the said change of name of the Transferee Company and comply with the provisions of the Companies Act, 2013.	
Para 22(9) That, as per the financial statements of the Transferor Company for FY: 2023- 24, an amount of Rs.16,16,32,283/- has been received from EGEN Solutions INC under Sale of Service. In this regard, the Transferor Company vide letter dated 02.05.2025 submitted that the company provides its services to Egen Solutions Inc. USA at a transfer pricing margin of 10% on operating costs, which is considered at an arm's length margin and the same was not disputed by the Income Tax Department. Hence, the company was not selected for scrutiny. In this regard, the Transferor Company has not submitted the Bilateral Advance Pricing Agreement	The Petitioner Companies have submitted that since execution of Bilateral Advance Pricing Agreement with Central Board of Direct Taxes is not mandatory as per Taxation laws, taking into account the simple nature of services of the Transferor Company and the Transferee	The Transferor Company has submitted the reply that execution of such an Agreement is not necessitated. However, not submitted the basis of determination of Transfer Pricing in support of arm's length price for

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executed with the Central Board of Direct Taxes for determination of transfer price. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor Company to submit the basis of determination of Transfer Pricing along with supporting documents	Company with their respective Holding Companies, the Petitioner Companies have formed an opinion that execution of such an Agreement is not necessitated and hence, the same has not been executed. Further submitted that the Income Tax department has not directed the Petitioner Companies to execute any such Bilateral Advance Pricing Agreement.	providing Sale of Service to EGEN Solutions INC. Therefore, it is not known about adherence of Arm Length Pricing for Sale of Service by the company. Hence, this Hon'ble Tribunal may be pleased to direct the concerned Income Tax Department to examine the Transfer Pricing Margin on operating costs and submit their view in this regard.
Para 22 (18) That, as per Note - 24 of the Financial Statements of the Transferee Company as at 31.10.2024, the Company has sold the goods to related parties. In this regard, the Transferee	The Petitioner Companies have submitted that the Transferor Company and the	The Transferee Company has submitted that the company provides its

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Company vide letter dated 02.05.2025 submitted that the company provides its services to SpringML Inc.USA, its holding Company at a transfer pricing margin of 10% on operating costs, which is considered at an arm's length margin. In this regard, the Transferee Company has not submitted the Bilateral Advance Pricing Agreement executed with the Central Board of Direct Taxes for determination of transfer price. Hence, this Hon'ble Tribunal may be pleased to direct the Transferee Company to submit the basis of determination of Transfer Pricing along with supporting documents.	Transferee Company do provide services to their respective Holding companies at a transfer pricing margin of 15% on operating costs and the said margin is considered at an arm's length margin and the said margin is used for determination of Transfer Pricing. The details of all such transactions have been duly disclosed in the financial statements of Transferor Company and the Transferee Company. The Transferor Company and the Transferee Company have also filed their Transfer	services to SPRINGML Inc.USA its holding company at a transfer pricing margin of 10% on operating costs. However, in reply affidavit the transfer pricing margin is mentioned as 15% on operating costs. If the margin of 15% is considered as arm length price, then the company has taken margin of 10% on operating costs in financial year 2023-24 and also in previous years, thereby showing lower

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	Pricing Returns with the Income Tax Department clearly disclosing all such transactions with their respective Holding Companies. The report of the Income Tax Department filed before the Hon'ble Tribunal has not raised any observation/ remark on the Transfer Pricing of the Transferor Company or Transferee Company.	profit in such financial statements and paid lower Income Tax. However, Income Tax Department is the concerned authority to decide the percentage of margin on operating costs to determine the profit for calculation of Income Tax. Therefore, this Hon'ble Court may be pleased to direct the concerned Income Tax Department to examine the Transfer Pricing Margin on operating costs

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		and submit their view in this regard.

13. The Deputy Commissioner of Income Tax-8(1), Hyderabad, vide his Affidavit/ report dated 27.05.2025 has made certain observations. The Petitioner Companies have filed reply Affidavit dated 12.06.2025, in response to the observations made by the Deputy Commissioner of Income Tax-8(1), Hyderabad. The details are given below:

Observation of Deputy Commissioner of Income Tax-8(1), Hyderabad	**Reply filed by the Petitioner Companies by way of an Affidavit**
M/s Egen Data Private Limited (Transferor Company), an Order u/s 143(1) of the Income Tax Act, 1961 was passed on 15.01.2025 determining total income at Rs. 1,95,05,000/- and raising a demand of Rs. 2,12,620/-. As per the office records, the said demand and interest chargeable u/s 220(2) of the Income Tax Act, 1961 is yet to be paid by the said company. The order u/s 143(1) of the Income Tax Act,	The Transferor Company and the Transferee Company affirms and undertakes that the Transferee Company shall honour all dues/ claims, if any of the Income tax department w.r.t. the Transferor Company and that the interest of the Income Tax Department shall stand protected for recovery of any dues, interest and penalties, if

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1961 of the order mentioned above is enclosed herewith as Annexure with the observation.	any, pertaining to the Transferor Company, in accordance with the provisions of the Income Tax Act, 1961.

14. **OBSERVATION**

We have heard the Learned Counsel appearing for the Petitioner Companies and perused the material papers on record. As regards to the observations pointed out by the Regional Director and compliance filed by the petitioner company, it appears that Petitioner Companies undertake to comply the necessary observations whenever required. The Official liquidator had also raised certain observations for which the Petitioner Companies filed its reply by way of Affidavit. The Deputy Commissioner of Income Tax, Hyderabad had also raised certain observations for which the Petitioner Companies undertaken and filed its reply by way of Affidavit. After hearing the Counsel for the Petitioner Companies and considering the material on record, we are of the view that scheme is not opposed to public interest and the proposed Scheme is in the interests of the Transferor Company, the Transferee Company and their respective shareholders, employees, creditors and all persons concerned. Hence the scheme can be approved with appointed date as 01.04.2024. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence ordered.

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ORDER

15. After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

(i). The Scheme of Amalgamation is hereby sanctioned with appointed date as 01.04.2024 and shall be binding on all the members, employees, creditors and all other stakeholders of the Petitioner Companies.

(ii). While Approving the Scheme, we made it clear that this order should not be construed as an order in anyway granting exemption from payment of Stamp Duty, taxes or any other charges, if any, payable in accordance with law or in respect of any permission/compliance with any other requirement which may be specially required under any law.

(iii). The whole of the assets, property, rights and Liabilities of the Transferor Company shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

(iv). We direct the Petitioner companies to comply with all the observations pointed out by the Regional Director.

(v). We direct the Petitioner companies to comply with all the observations pointed out by the Official Liquidator.

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(vi). We direct the Petitioner companies to comply with all the observations pointed out by the Deputy Commissioner of Income Tax Department.

(vii). We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

(viii). We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of their statutory liability in any manner.

(ix). All the legal proceedings pending by or against the Transferor Company shall be continued by or against the Transferee Company.

(x). There was a demand from the Income Tax Authorities which has been undertaken to pay by the Transferee Company. We, however direct the petitioner Companies to comply with the observations if any with the Income Tax Authorities as per law.

(xi). The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

(xii). The sanction of the Scheme by this Tribunal shall not forbid the revenue authority from taking appropriate recourse for recovering the

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existing and previous tax liabilities of the Transferor and Transferee Companies.

(xiii). We direct the Transferee Company to comply with the provisions of Section 2 (41) of the Companies Act, 2013, if applicable.

(xiv). The Transferor Company shall be dissolved without going through the process of winding up.

(xv). The Petitioner Companies shall until the completion of the Scheme of Amalgamation, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by a Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied with in accordance with the orders of the Tribunal as required under Section 232 (7) of the Companies Act, 2013.

(xvi). We direct the Petitioner Companies involved in the Scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

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(xvii). The Petitioner Companies is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of merger under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, GoI, Hyderabad.

(xviii). Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(xix). Accordingly, the Company Petition C.P. (CAA) No. 07/230/HDB/2025 is allowed and the same is disposed of.

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Man Mohan Gupta
Member Technical

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Rammurti Kushawaha
Member Judicial

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